

Calendar line 4

24CV443623

Riley's Remodeling & Design

v.

Joseph and Geriann Shaw

Defendant's motion to disqualify Last, Faoro & Whitehorn as attorneys of record.

A motion to disqualify counsel implicates competing interests, including a party's right to chosen counsel, the attorney's interest in representing a client, and the need to maintain ethical standards and public trust in the integrity of the judicial process. (See *People ex rel. Dept. of Corporations v. Speedee Oil Change Systems, Inc.*)

California law recognizes that duties of confidentiality may arise from preliminary consultations with prospective clients even where no formal attorney-client relationship is ultimately formed. (Id.; see also Rule 1.18 of the California Rules of Professional Conduct.) However, disqualification is not automatic merely because a consultation occurred. The court must determine whether the prior consultation and the present representation are substantially related such that confidential information material to the current matter would normally have been imparted to the attorney. (See *Flatt v. Superior Court*.)

Where a substantial relationship is established, courts may apply a conclusive presumption that confidential information was transmitted. However, the presumption does not arise solely from the existence of a preliminary consultation. Rather, the moving party must first demonstrate a relationship and factual circumstances sufficient to support application of the substantial relationship test.

Here, Defendant presents evidence that Defendant consulted with Attorney Faoro regarding issues generally involving contractor payment disputes and lien rights arising from the same underlying dispute at issue in this litigation. Defendant further argues that the consultation itself is sufficient to invoke the substantial relationship test and resulting presumption that confidential information was disclosed.

The Court is not persuaded on the present record.

The evidence submitted reflects that the consultation was preliminary and limited in nature. The evidence further reflects that Defendant did not retain Attorney Dennis L. Faoro or the firm, did not identify the opposing parties, and did not discuss specific litigation strategy, factual admissions, settlement positions, or other confidential information material to the present action. While Defendant correctly notes that a court need not inquire into the actual content of privileged communications once the substantial relationship test applies, the threshold question remains whether the nature of the consultation was such that confidential information material to the present matter would ordinarily have been disclosed.

On the facts presented, Defendant has not met that burden.

The Court acknowledges that the consultation involved the same general contractor dispute and related lien-right issues now before the Court. However, generalized discussions concerning legal rights or broad categories of disputes, without disclosure of material confidential

information or facts demonstrating a substantive professional relationship, are insufficient to warrant the drastic remedy of disqualification.

The Court therefore finds Defendant has not established a prior relationship giving rise to the conclusive presumption that Attorney Faoro or the firm of Last, Faoro & Whitehorn received confidential information material to the present litigation.

Accordingly, the motion is DENIED.

Plaintiff to prepare the final order accompanied by Form EFS-020 within 7 days of the hearing.

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Calendar Line 5**Case Name:** *Jin Yin v. Hiu Yip et al***Case No.:** 24CV445907

Special Motion to Strike by Defendant Xiaoxiao Liu

Factual and Procedural Background

On November 10, 2025, plaintiffs Jin Yin (“Yin”) and YJBM Beauty LLC (“YJBM”; collectively “Plaintiffs”) filed the verified Second Amended Complaint (“SAC”) against defendant Xiaoxiao Liu (“Defendant”) alleging the following causes of action: (1) intentional misrepresentation; (2) concealment; (3) intentional interference of contractual relationship; (4) violation of California Franchise Investment Law (“CFIL”); and (5) violation of California Unfair Competition Law (“UCL”).

According to the SAC, Defendant, acting as counsel, assisted in defrauding Plaintiffs by preparing and presenting the “Trademark and Know-How License Agreement” (the “Licensing Agreement”), which disguised a franchise relationship as a trademark license. (SAC, ¶¶ 5, 13, 19.) Defendant drafted the Licensing Agreement as an attempt to bypass the requirements under Federal Trade Commission (“FTC”) franchise rules and CFIL. (*Id.* at ¶ 19.) Plaintiffs encountered issues after purchasing the franchise, prompting them to retain counsel with franchise law expertise, upon which Plaintiffs discovered Defendant violated CFIL. (*Id.* at ¶ 21.)

On November 17, 2025, Defendant filed the present special motion to strike the SAC, or in the alternative, the first through fifth causes of action alleged therein. Plaintiffs timely filed a written opposition, and Defendant timely filed a written reply.

Special Motion to Strike

Defendant’s special motion to strike is brought on the grounds that the pleading or claims arise from protected activity and Plaintiffs cannot demonstrate a probability of success on the merits.

Legal Standard

Code of Civil Procedure section 425.16, subdivision (b)(1) provides:

A cause of action against a person arising from any act of that person in furtherance of the person’s right of petition or free speech under the United States Constitution or the California Constitution in connection with a public issue shall be subject to a special motion to strike, unless the court determines that the plaintiff has established that there is a probability that the plaintiff will prevail on the claim.

This special motion to strike is commonly referred to as an “anti-SLAPP” motion.

Courts evaluate anti-SLAPP motions using a two-step analysis. (*Country Side Villas Homeowners Assn. v. Ivie* (2011) 193 Cal.App.4th 1110, 1116.) The California Supreme Court in *Baral v. Schnitt* (2016) 1 Cal.5th 376, 396 (*Baral*) provides the following summary of the showings and findings required by Code of Civil Procedure section 425.16, subdivision (b):

At the first step, the moving defendant bears the burden of identifying all allegations of protected activity, and the claims for relief supported by them.